KakaoBank (323410 KS)

Do-hyeong Woo
Financials
dohyeong.woo@yuantakorea.com

4% growth in 4Q26 achievable

BUY (M)

Target price	W28,000 (M)
Previous target price	W28,000
Current price (Nov 04)	W20,150
Upside potential	39%

Market cap (Wbn)	9,614
Shares outstanding	477,120,437
Avg daily T/O (2M, Wbn)	15
Avg daily volume (2M, shrs)	709,561
52-week high/low (won)	28,700 / 19,240
Foreign ownership (%)	17.64%
Dividend yield (%)	21.40%
Major shareholders	Kakao Corp.

Stock performance

(%)	1M	3M	12M
Absolute	2.3	(7.8)	(12.6)
Relative	26.0	3.2	(36.6)
Abs (US$)	3.0	(1.5)	(6.3)

3Q26 net profit beats consensus

KakaoBank posted 3Q26 net profit attributable to controlling interest of W141.7bn, beating consensus of W129.5bn by 9.5%, primarily driven by a W10bn increase in interest income from investment financial assets and W5bn in valuation loss reversals following the maturity of securities. Interest income grew 3.8% QoQ (W15bn), as bank interest income grew by W4bn (NIM + 2bp QoQ, won-denominated loans +0.8% QoQ) and interest income related to investment financial assets expanded by W10bn QoQ thanks to better margin amid higher market interest rates. Non-interest income grew significantly QoQ. While commission income fell, about W5bn in valuation loss reversals were recognized upon the maturity of securities within investment financial assets. SG&A expenses rose 9.5% QoQ on higher IT operational costs and depreciation from data center operations, and increased labor costs following labor-management agreements. Provisions grew 28.2% QoQ likely due to increased loans to sole proprietors (guaranteed loans). CET-1 ratio came to 20.9%.

Loans likely to grow 4%; NIM likely to edge down

We forecast won-denominated loan growth at about 4% (1Q-3Q26: 3.6%), primarily driven by the digital mortgage product launched in September to finance final payments on newly built homes. A refinancing product for property-backed loans to sole proprietors, scheduled for launch in November, should also contribute to loan growth. Property-backed loans require lower provisioning than guarantee-backed loans, which should help limit the increase in credit costs in 2027.

In 4Q26, NIM is likely to drop slightly QoQ, reflecting a seasonal increase in deposit inflows, including retirement pension deposits. Full-year guidance calls for a 10bp YoY rise in NIM. 1Q-3Q26 NIM stood at 2.10%, 16bp above the 2025 full-year level of 1.94%.

Maintain BUY and target price of W28,000

We maintain BUY and our target price of W28,000. We lowered our ROE assumption to reflect higher provisioning expenses resulting from rising interest rates, a higher terminal growth rate lifted our target P/B multiple, leaving our TP unchanged. We expect a total shareholder payout ratio of 50% for 2026 and a year-end dividend yield of 3.2%.

Quarterly earnings

(Wbn)	3Q26P	% YoY	% QoQ	Consens	vs consens (%)
Net op revenue	433	25.3	7.0	346	25.3
SG&A expense	169	21.2	9.5	163	3.3
Provisions	73	30.9	28.2	65	11.3
OP	192	26.9	-1.1	183	5.0
Consolidated NP	142	27.2	0.7	129	9.5
NP, CI	141.7	27.2	0.7	129.5	9.5

Note: CI = controlling interest

Forecasts and valuations (K-IFRS, consolidated) (Wbn)

FY ends Dec	2024A	2025A	2026E	2027E
Net op revenue	1,371	1,411	1,644	1,922
OP	607	649	739	894
NP, CI	440	480	612	651
P/E (x)	22.8	21.4	15.0	14.1
P/B (x)	1.53	1.52	1.33	1.27
ROE (%)	7.0	7.2	9.0	9.2
ROA (%)	0.75	0.69	0.77	0.73

Source: Yuanta Securities

For analyst certification and other important disclosures, refer to the Appendix at the end of this report.

KakaoBank: quarterly earnings (consolidated)

(Wbn, %)	3Q26P	Consensus	vs consen	YoY	QoQ	3Q25	2Q26
Net op revenue	433	346	25.3	25.3	7.0	346	405
OP	192	183	5.0	26.9	-1.1	151	194
Net profit, CI	141.7	129.5	9.5	27.2	0.7	111	141

Note; CI = controlling interest, Source: company data, Yuanta Securities

KakaoBank: earnings forecast (consolidated)

(Wbn, %, %p)	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26	3Q26P	4Q26E	2025	2026E
Net op revenue	369	359	346	337	361	405	433	445	1,411	1,644
Net interest income	323	319	320	356	373	402	417	426	1,319	1,619
Non-interest income	45	41	25	-19	-12	2	16	19	92	25
Commission income	7	6	6	5	10	15	10	13	24	48
Other non-interest income	38	34	19	-24	-22	-13	6	6	68	-23
SG&A expense	125	131	139	123	139	154	169	173	517	635
Pre-provisioning OP	244	228	207	214	222	251	265	272	893	1,009
Provisioning	61	58	56	69	65	57	73	76	244	270
OP	183	170	151	145	158	194	192	196	649	739
Non-operating profit	-1	-2	-3	-4	93	-3	0	-4	-9	86
Pre-tax profit	182	168	148	141	251	191	192	192	640	825
Consolidated net profit	137	126	111	105	187	141	142	142	480	612
Consol. net profit (CI)	137	126	111	105	187	141	142	142	480	612
Won-denominated loan growth (bank)	2.5	1.2	1.0	3.7	1.7	1.1	0.8	4.2	8.6	7.9
Portion of non-interest income	12.2	11.3	7.4	-5.7	-3.5	0.6	3.6	4.3	6.5	1.5
NIM (bank)	2.09	1.92	1.81	1.94	2.00	2.13	2.15	2.13	1.94	2.10
CIR	33.8	36.5	40.2	36.5	38.4	38.0	38.9	38.9	36.7	38.6
CCR	0.55	0.52	0.49	0.59	0.54	0.47	0.60	0.60	0.54	0.56
NPL ratio	0.51	0.54	0.55	0.53	0.53	0.54	0.53	0.52	0.53	0.52
NPL coverage ratio	227.0	219.0	211.8	215.8	214.9	209.7	214.3	214.8	215.8	214.8
CET-1	24.93	24.33	22.73	22.03	21.06	20.98	20.90	20.82	22.03	20.82
ROE	8.4	7.7	6.7	6.3	11.2	8.5	8.4	8.3	7.2	9.1
ROA	0.8	0.7	0.6	0.6	1.0	0.7	0.7	0.7	0.7	0.8
Equity	6,510	6,636	6,715	6,750	6,624	6,677	6,754	6,896	6,750	6,896
Asset	68,403	71,914	73,988	76,410	77,663	75,917	80,324	83,099	76,410	83,099

Note: CI = controlling interest
Source: company data, Yuanta Securities

Valuation table

	Formula	Unit	Old (Jul 22, 2026)	New (Nov 5, 2026)	Note
Cost of equity (COE)	(C=a+(b*c)+d)	%	7.20	7.23	
Risk-free rate	(a)	%	2.90	3.38	Monetary stabilization bond 1yr 3M yield
Risk premium	(b)	%	5.10	5.10	
Beta	(c)		0.80	0.75	104-week adjusted beta
Ri	(d)	%	0.0	0.0	Reflected additionally given past COE
Average ROE	(B)	%	9.8	9.5	2026-2028 average ROE
Permanent growth	(D)	%	4.00	4.54	MIN (ROE x retention ratio, KTB 30yr 3M yield)
Target P/B	(A=(B-D)/(C-D))	x	1.82	1.85	
12-mo-fwd BPS	(E)	won	15,391	15,195	
Target price	(A*E)	won	**28,000**	**28,000**	
Current price (Nov 4)		won		20,150	
Upside potential		%		39.0	

Source: company data, Yuanta Securities

Earnings forecast revision

(Wbn, %)	Old		New		Difference (%)	
	2026E	2027E	2026E	2027E	2026E	2027E
Net op revenue	1,602	1,923	1,644	1,922	2.6	0.0
OP	714	925	739	894	3.5	-3.4
Net profit, CI	590	671	612	651	3.7	-3.0

Note: CI = controlling interest, Source: Yuanta Securities

KakaoBank (323410 KS) pro forma financial statements (K-IFRS, consolidated)

Statement of financial position

FY ends Dec (Wbn)	2024A	2025A	2026E	2027E	2028E
Cash & cash equivalents	1,855	2,113	646	738	823
Securities	15,160	20,685	25,378	29,960	34,014
Loans	44,504	51,746	55,591	62,647	69,223
Tangible and intangible assets	220	271	340	340	340
Other	1,066	1,595	1,145	1,309	1,459
Assets	62,805	76,410	83,099	94,995	105,859
Deposits	54,971	68,324	74,382	85,753	96,038
Borrowings	0	0	410	410	410
Other	1,294	1,336	1,411	1,590	1,757
Liabilities	56,265	69,660	76,203	87,753	98,205
Equity, controlling interest	6,540	6,750	6,896	7,242	7,654
Capital stock	2,385	2,385	2,386	2,386	2,386
Hybrid bond	0	0	0	0	0
Capital surplus	2,988	2,988	2,989	2,989	2,989
Retained earnings	1,123	1,432	1,825	2,170	2,582
Other comprehensive income	44	-56	-302	-302	-302
Equity, non-cntr interest	0	0	0	0	0
Equities	6,540	6,750	6,896	7,242	7,654

Statement of comprehensive income

FY ends Dec (Wbn)	2024A	2025A	2026E	2027E	2028E
Net interest income	1,269	1,319	1,619	1,848	2,043
Non-interest income	101	92	25	74	90
Net commission	23	24	48	55	61
Other non-interest	79	68	-23	20	29
Net operating revenue	1,371	1,411	1,644	1,922	2,133
Selling and admin expense	493	517	635	735	813
Pre-provision operating profit	877	893	1,009	1,188	1,320
Provisions	271	244	270	293	306
Operating profit	607	649	739	894	1,014
Pre-tax profit	589	640	825	885	1,004
Income tax	149	160	213	234	263
Tax rate	25.3	25.0	25.9	26.4	26.2
Separate net profit	440	480	612	651	741
Controlling interest	440	480	612	651	741
Non-controlling interest	0	0	0	0	0

Growth indicators

FY ends Dec (%)	2024A	2025A	2026E	2027E	2028E
Won-denominated loans	11.7	8.6	7.9	12.7	10.5
Deposit liabilities	16.6	24.3	8.9	15.3	12.0
Net interest income	13.7	3.9	22.8	14.2	10.6
Non-interest income	118	-9	-73	197	21
Net fee and commission income	-1,217.0	7.3	97.2	13.7	11.7
SG&A expenses	13.2	4.9	22.6	15.8	10.6
Net profit	24.0	9.1	27.4	6.4	13.9
Total equity	6.9	3.2	2.2	5.0	5.7
Total assets	15.3	21.7	8.8	14.3	11.4

Key financial indicators

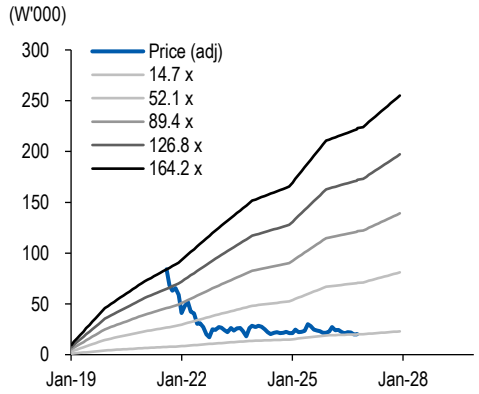
FY ends Dec (%)	2024A	2025A	2026E	2027E	2028E
Bank					
ROE	7.0	7.2	9.0	9.2	10.0
ROA	0.8	0.7	0.8	0.7	0.7
CIR	36.0	36.7	38.6	38.2	38.1
CCR	0.66	0.54	0.55	0.54	0.51
NIM	2.16	1.94	2.10	2.12	2.08

Key investment indicators

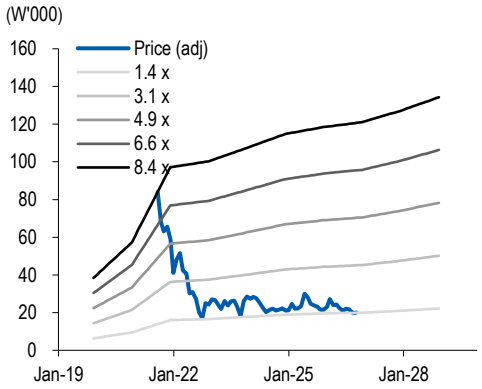
FY ends Dec	2024A	2025A	2026E	2027E	2028E
Per-share indicators					
EPS (won)	924	1,008	1,284	1,365	1,555
BVPS (won)	13,727	14,166	14,470	15,195	16,059
DPS (won)	360	460	640	690	830
Valuation indicators					
P/E (x)	22.8	21.4	15.0	14.1	12.4
P/B(x)	1.5	1.5	1.3	1.3	1.2
Dividend yield (%)	1.7	2.1	3.3	3.6	4.3
Payout ratio (%)	39.0	45.7	49.9	50.6	53.4
Capital adequacy indicators					
BIS ratio (%)	27.2	23.2	21.9	20.7	19.7
Tier 1 capital ratio (%)	26.1	22.0	20.8	19.7	18.9
CET-1 ratio (%)	26.1	22.0	20.8	19.7	18.9

Note: CI = controlling interest
EPS, BPS, P/E and P/B are based on controlling interest.
For valuation metrics such as P/E, historical figures are based on annual average prices and estimates, on current price.
For ROA or ROE, assets and equity are averages of end-of-year figures for the given year and the year prior.
Source: Company data, Yuanta Securities

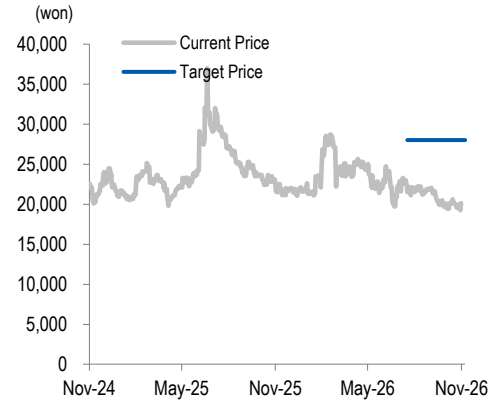
P/E band chart



P/B band chart



KakaoBank (323410 KS) ratings and target price history



Date	Rating	TP (won)	TP time frame	Difference (%)	
				vs avg price	vs high (low)
2026/11/05	BUY	28,000	1 yr		
2026/07/22	BUY	28,000	1 yr		
2024/12/11	After 1yr		1 yr		
2023/12/11	Not Rated	-	1 yr		

Note: Difference = (actual price* - target price) / target price x 100
* 1) The average price until the day target price was suggested
2) The highest (lowest) price until the day target price was suggested
Source: Yuanta Securities

Rating	Share (%)
STRONG BUY	0
BUY	96.9
HOLD	3.1
SELL	0
Total	100.0

Note: As of Nov 05, 2026 Excluding reports written or published by overseas affiliates

Appendix: Important disclosures

Analyst certification

I/We, as the research analyst/analysts who prepared this research report, do hereby certify that the views expressed in this report accurately reflect my/our personal views about the subject securities discussed in this report.

Stock and sector ratings

- **Stock ratings** include an Investment Rating (Strong Buy, Buy, Hold, Sell) based on the expected absolute return of a stock over the next 6 -12 months.
- **- Strong Buy:** Expected to return 30% or more
  - Buy: Expected to return between 15% and 30%
  - Hold: Expected to return between -15 and +15%
  - Sell: Expected to return -15% or less
- **Sector ratings** suggest 6 to 12 - month forward investment weighting of a given sector compared to its market capitalization weighting.
  - Overweight: Investment weighting is higher than the market capitalization weighting
  - Neutral: Investment weighting is equal to the market capitalization weighting
  - Underweight: Investment weighting is lower than the market capitalization weighting

Global disclosures & disclaimers

This research report has been prepared for informational purposes only; it does not constitute an offer or a solicitation of an offer to buy or sell any securities or other financial instruments. The information and data contained in this report have been obtained from sources we consider reliable; however, we make no representation that the information provided in this report is accurate or complete, and it should not be relied on as such. The recipient of this report should use his/her independent judgment regarding the sale or purchase of any securities or financial instruments mentioned herein. We disclaim any liability whatsoever for any direct or consequential loss arising from any use of this report or its contents. This report is for our clients only. It is copyrighted material and may not be reproduced, transmitted, quoted, or distributed in any manner without the prior written consent of Yuanta Securities Korea Co., Ltd.

As of the date of publication of this report, Yuanta Securities Korea Co., Ltd. does not own 1% or more of the subject company's shares outstanding. As of the date of publication of this report, Yuanta Securities Korea Co., Ltd. does not have any special interests in the subject company.

The material contained herein was not disclosed by Yuanta Securities Korea Co., Ltd. to any institutional investors or third parties prior to its publication. The analyst (s) of this report or the analyst (s)' spouse does not have any financial interest in the securities of the subject company (ies) mentioned herein, nor financial interest of any nature related to the subject company (ies) (including without limitation, whether it consists of any option, right, warrant, future, long or short position), as of the publication date of this report.

NOTICE TO US INVESTORS: This research report is the product of Yuanta Securities Korea Co., Ltd., which is the employer of the research analyst(s) who has prepared the research report. The research analyst(s) preparing the research report is/are resident outside the United States (US) and are not associated person(s) of any US regulated broker-dealer and therefore the analyst(s) is/are not subject to supervision by a US broker-dealer, and is/are not required to satisfy the regulatory licensing requirements of FINRA or required to otherwise comply with US rules or regulations regarding, among other things, communications with a subject company, public appearances, and trading securities held by a research analyst account.

Research reports are intended for distribution only to Major U.S. Institutional Investors as defined by Rule 15a-6(b)(4) of the US Securities and Exchange Act of 1934 (the Exchange Act) and interpretations thereof by the U.S. Securities and Exchange Commission (SEC) in reliance on Rule 15a-6(a)(2). If the recipient of this research report is not a Major US Institutional Investor as specified above, then it should not act upon this report and return the same to the sender. Further, this report may not be copied, duplicated, and/or transmitted onward to any US person which is not a Major US Institutional Investor. In reliance on the exemption from registration provided by Rule 15a-6 of the Exchange Act and interpretations thereof by the SEC in order to conduct certain business with Major US Institutional Investors, Yuanta Securities Korea Co., Ltd. has entered into a Strategic Partnership and chaperoning agreement with a U.S. registered broker-dealer: BancTrust Securities USA. Transactions in securities discussed in this research report should be affected through BancTrust Securities USA.

Yuanta Securities (Korea) International Network

Seoul

Head Office
anchor1, 39 Gukjegeumyung-ro,
Yeongdeungpo-gu, Seoul
Tel: +822 3770 2000

Research Center
anchor1, 39 Gukjegeumyung-ro,
Yeongdeungpo-gu, Seoul
Tel: +822 3770 2000

Hong Kong

Yuanta Financial (Hong Kong) Limited
Suite 22D, 24/F Block D, Mai Luen Industrial Bldg,
23-31 Kung Yip Street, Kwai Chung, N.T. Hong Kong
Tel: +852 6388 1870

Cambodia

Yuanta Securities (Cambodia) Plc.
4th Floor, Emerald Building, No.64 (corner St. 178),
Preah Norodom Blvd, Sangkat Chey Chumneah, Khan
Daun Penh, Phnom Penh, Cambodia
Tel: +855 23 860 800

Yuanta Securities (Korea)